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**Journal entry**

| Date | Particulars | | L.F. | Debit ` | Credit ` |
|---|---|---|---|---|---|
| | Keerthana A/c | Dr. | | 5,000 | |
| | To Cash A/c | | | | 4,800 |
| | To Discount received A/c | | | | 200 |
| | (Paid Keerthana in full settlement) | | | | |

### Example 13

**Transaction:** Dinesh, a customer is declared insolvent and 40 paise in a rupee is received from the estate for his due ` 10,000.

**Analysis**: This is a cash transaction as cash is involved.

| Transaction | Accounts involved | Nature of accounts | How affected in business | Debit / Credit |
|---|---|---|---|---|
| Dinesh who owed ` 10,000, became insolvent and 40 paise in a rupee is received from his estate | Cash A/c | Real A/c | Cash comes in | Debit |
| | Bad debts A/c | Nominal A/c | Bad debts is a loss | Debit |
| | Dinesh A/c | Personal A/c | Dinesh is the giver | Credit |

**Journal entry**

| Date | Particulars | | L.F. | Debit ` | Credit ` |
|---|---|---|---|---|---|
| | Cash A/c | Dr. | | 4,000 | |
| | Bad debts A/c | Dr. | | 6,000 | |
| | To Dinesh A/c | | | | 10,000 |
| | (Cash received in final settlement on insolvency) | | | | |

### Tutorial note

Though the procedure for analysis of transactions, classification of accounts and rules for recording transactions under accounting equation approach and traditional approach are different, the accounts affected and entries in affected accounts remain the same under both approaches. In other words, accounts to be debited and credited to record the dual aspect remain the same under both the approaches.

## Illustration 8

Jeyaseeli is a sole proprietor having a provisions store. Following are the transactions during the month of January, 2018. Journalise them.

| Jan. | | ` |
|---|---|---|
| 1 | Commenced business with cash | 80,000 |
| 2 | Deposited cash with bank | 40,000 |